



BUDGET

2009

Cover story **ESSAY**

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Victory is an intoxicating potion that can lure the victor into embracing a faux sense of invincibility. Lesser mortals are known to have confused triumph with political immortality. Not Pranab Mukherjee. Following the Congress' return to power, pundits predicted the second wave of liberalisation, the Sensex mounted the peak of good hope fuelled by expectations. The renewed mandate was seen as a licence to unleash reforms. Mukherjee kept his counsel through the parade of pre-Budget presentations. If at all he gave a hint of his thoughts, it was on June 16 at a meeting with party MPs where he let it slip that even at the height of its fashion in the 1980s "he was not enamoured by the dogmatic approach of Reaganomics" which preached a smaller role for government.

Last week, Mukherjee walked the talk. As his favourite economist Gunnar Myrdal would have advised, Mukherjee used the national Budget to intervene and expand the role of government. In what would be the biggest-ever expansion of Government in the economy, he ramped up total expenditure by over 36 per cent to Rs 10,20,838 crore. This when revenues are Rs 6,14,497 crore. Translated, the Government spends Rs 10 when it earns only Rs 6. This year it will borrow Rs 4,00,996 crore or around Rs 1,100 crore for every day of the year. Money is not cheap. The Government will pay Rs 2,25,511 crore or over Rs 3 of every Rs 10 it earns in interest costs. In Mumbai's Zaveri and Chira bazaars this kind of borrowing is called "being mortgaged to the Pathan".

Despite expectations, the Budget was bereft of the big bang announcements on privatisation that Dalal Street expected; investment liberalisation corporate pashas wanted and reforms his own Economic Survey advocated. Mukherjee unapologetically delivered the economic edition of the party's political mani-

THE Big SPENDER

A firm believer in the role of the state, Mukherjee borrows and bets on rural India to deliver growth



SAURABH SINGH